

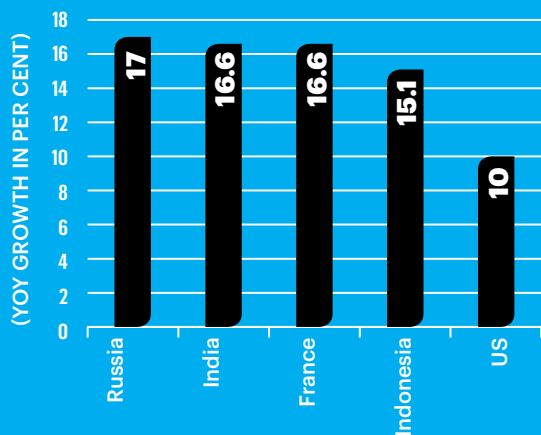
GAUGING GROWTH



India is WhatsApp's second-fastest growing market



India's vast user base gives WhatsApp good revenue growth opportunities



FIGURES INDICATE THE RATE OF YOY GROWTH IN WHATSAPP USERS
SOURCE: BACKLINKO, EMARKETER



66

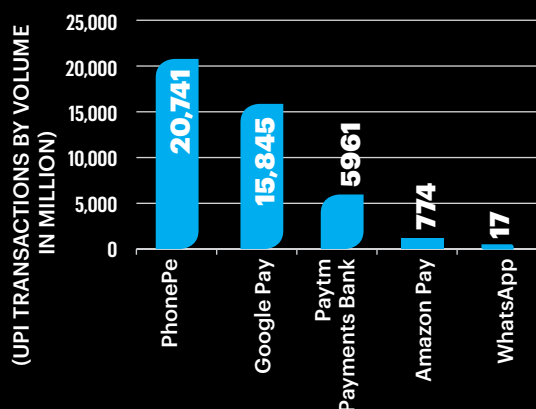
MILES TO GO



In FY22, PhonePe and Google Pay handled 80% of UPI transactions



WhatsApp Pay had the least number of transactions



FIGURES ARE FOR FISCAL YEAR 2022
SOURCE: NPCI



WhatsApp's major revenue source is the WhatsApp Business API (application programming interface) that Meta sells to businesses. This allows firms to automatically respond to customer queries, send shipping confirmation, and make payments. Firms that use the API are charged per conversation, which includes all messages sent in a 24-hour session. WhatsApp has also launched Flows, an in-app shopping experience.

Per Srinivasan, there are two real business lines for Meta. "There's click-to-message ads, built with a goal of helping businesses reach more people with Facebook and Instagram ads—that take users into one of our messaging apps. And paid messaging that enables them to have in-thread conversations with people," she says, adding that click to message is "a \$10-billion run-rate business today".

THE INDIA STRATEGY

WhatsApp's monetisation strategy in India is multi-pronged. While WhatsApp for Business is free for small businesses, larger ones with high communication volumes pay to use certain services, and the API allows integration with customer relationship management (CRM) systems for a fee.

According to market research firm Chrome Data Analytics and Media, WhatsApp for Business is paving the way for the monetisation of messaging services in India. "Its simplicity makes WhatsApp a preferred choice for millions to graduate to WhatsApp Flows and WhatsApp Payments," says its Founder and CEO Pankaj Krishna.

Per a Business Messaging Usage Research by Kantar, daily conversations between people and businesses have more than doubled in India since last year, while 80 per cent of consumers picked messaging as the preferred way to communicate with a business. Devanathan is betting on the metric that India is projected to have 400-450 million online shoppers by 2025, which will also enable Meta to go deeper into its towns and cities.

Experts believe that rolling out an end-to-end shopping experience on WhatsApp in August 2022 through a partnership with investee company Jio Platforms, the digital unit of Reliance Industries, was a game-changer that allowed JioMart users to complete purchases without leaving the chat window. Today, WhatsApp Business's go-to-market is driven by business service providers (BSPs) like Gupshup, Haptik and Kaleyra. It charges ₹0.29 for